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First variant Principal Examiner Report

7115 Business Studies June 2007

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BUSINESS STUDIES

Paper 7115/02

Case Study

General comments

Candidates responded well to the paper and no question appeared to present problems. On the whole, candidates were well prepared in terms of knowledge and understanding required; but the application of this knowledge let the majority of candidates down on this paper. Also lack of attention to the command words used in the questions meant that some questions proved difficult to score full marks but there was opportunity for all candidates to score some marks. Candidates have improved at providing a judgment, when the question calls for one, but many continue to write this as a single statement and do not justify their decision. The revised arrangement of the exam paper with headings to assist in the structuring of the written answers seems to have assisted more specific responses but most candidates were able to cope by providing whole-page answers and scoring some high marks from these.

The case study itself appeared to be within the understanding of candidates and proved to be topical. Time did not appear to be a problem for candidates and there were very few blank spaces on papers as nearly all candidates at least attempted an answer to all questions. The only question which did have occasional blank spaces was **Question 3a** where some candidates did no know what was meant by economies of scale. The standard did vary between Centres.

The general standard of English used by candidates was good, considering that it is the second language for most, and it did not prove a barrier to the performance of most candidates. As is normal, candidates were not penalised for weaknesses in grammar, punctuation and spelling, providing that Examiners could understand what candidates intended.

Here are a number of points that might be helpful in enabling candidates to achieve higher marks by using the information they know in a better way.

- Candidates need to pay careful attention to the wording of the question. If the question says 'EE provides training to its staff. Analyse the benefits of this training to customers and employees of EE' then the answer must just refer to customers and employees and not to the business itself to gain full marks. If the question says 'Discuss the effects each of these laws might have on EE' then the candidate must consider in what ways the business might be affected by these laws and not just discuss what the laws mean in general. Also encouraging candidates to write in full sentences and give a paragraph for each point being discussed will often mean they write more detailed explanation than if just bullet points are used and consequently they will be more likely to increase their marks.

- Candidates also need to respond to the command words used in the question. In particular, command words calling for evaluation were not always answered well. This is often a matter of technique by candidates. If the question asks for the candidate to 'Discuss whether you think they should do this' then points for and against or advantages and disadvantages should be considered and advice with a justification should be given, ideally, at the end of their answer.

- Paper 2 is a case study and the majority of the questions will be in the context of the business in the case study. For example, 'Explain three sources of finance EE could use.' Marks are awarded for applying these concepts to the business case and failure to do so will mean these marks are not achieved which could have a significant effect on the candidate's final grade. It is essential when preparing candidates for this paper to expose them to case studies on a regular basis in class. Theoretical knowledge of business terms and concepts alone is unlikely to lead to the highest grades being gained on this paper. Spending time in class doing case studies would develop the candidates' ability to apply their knowledge in many different situations and would enhance the quality of their answers in the exam.

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- Where a question carries 10 or 12 marks then usually some of the marks will be for [illegible] knowledge of the business terms/concepts in the question, some will be for applying the [illegible] the business in the case study, some will be for analysing the advantages, information, [illegible] finally some marks will be for evaluation, if judgment is called for in the question. Candidates [illegible] to realise that marks will often be awarded for all these assessment criteria when they [illegible] constructing their answer to the question. They should try to demonstrate all these assessment criteria in their answers if they are to achieve full marks, depending on the command words used in the question of course, as evaluation is not always asked for. For example, 'EE currently sells its products directly to consumers through its shops. The Directors are considering selling goods on the Internet. Discuss whether you think they should do this'. Some marks will be for demonstrating knowledge of the advantages or disadvantages of selling goods via the Internet. However if these points are only stated then very few marks will be awarded. The candidate should go on to explain these points and why they might be an advantage or disadvantage to the business if they are to gain half marks or more. Application of the answer to the case is required for further marks and finally a judgment needs to be made as to whether the business should start selling their goods on the Internet or not and why the candidate thinks this is what they should do to gain the evaluation marks.

Comments on specific questions

Question 1

(a) This was well answered by many candidates but it was surprising how many candidates thought a Plc was run by the government for the benefit of society. Weaker candidates focused on the advantages of being a limited company and considered limited liability but did not see that they needed to distinguish between a private limited company and a public limited company. Other candidates only considered the advantages and disadvantages of being a large business; focusing their answer on the size of business rather than its type. Application marks were not often awarded as responses were generally of a textbook nature rather than focused on the business in the case study.

(b) This was well answered by most candidates with selling shares, bank loans, and debentures being the most common examples. A frequent incorrect response from weaker candidates was overdraft or running stocks down which was inappropriate for this situation. However, full marks were rare as the source of finance was not always explained in detail and application was not often rewarded, although there were opportunities for candidates e.g. leasing is good as it often includes maintenance of vehicles and avoids the problems of depreciation.

Question 2

(a) All candidates seemed to understand the concept of the Internet, often considering the benefits of a wider market, lower costs. The possibility of fraud and lack of personal contact with customers were the most common disadvantages given. Application of the Internet to electrical goods was often overlooked, especially delivery and associated problems. A number of candidates seemed to just assume that EE would close all its shops down and operate a web only outlet. No candidates considered using the out of stores of Budget Deals as places to distribute to net based customers or even using the staff to support the new venture. Weaker candidates listed advantages or disadvantages and therefore lost marks because they did not explain why the point was an advantage or a disadvantage. Full marks were also often not given because the candidate only gave a one sided argument and did not justify their recommendation.

(b) There was a wide recognition of the product life cycle and its key features and the majority of candidates used the diagram provided to consider the two different stages. Marks were lost by candidates giving inappropriate pricing strategies (e.g. penetration pricing for video recorders), not naming strategies at all or just describing as many pricing strategies as they could remember without any reference to the diagram provided. Weak responses would just say raise prices or lower prices. The appropriateness of the different pricing strategies to different stages of a products' life cycle was only well understood by stronger candidates.

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Question 3

(a) Many candidates were aware of economies of scale and were able to gain full m… knowledge/analysis. The most common examples were purchasing, financial, technica… managerial. Application marks were once again poor as unfortunately too many had forgotten … context and discussed in terms of a manufacturing business rather than a retail service business. Weaker candidates either did not have any knowledge of this subject or made some attempt at discussing mixed economies.

(b) Virtually all candidates managed to gain some marks by referring to the data in Appendix 1 but only better candidates could really analyse and evaluate the data fully by balancing incurred costs with actual sales. Full marks were not gained very often because better candidates did not make a judgement even though they had good balanced arguments. Some weaker candidates misinterpreted the question and thought that there was no electricity in the shop B area.

Question 4

(a) Candidates were prompted by the use of the word "most" in bold, but still failed to clearly identify the use of trained staff v the use of untrained staff. "Old" people took a hammering – weak, poor health, forgetful, unable to learn about new products. The needs of customers and continuity, product knowledge, and potential industrial relations/unions were seldom addressed except in a general sense. That said the majority of candidates scored at least half marks and there were some well argued points but again not well applied and therefore full marks were rare.

(b) Usually well answered with responses such as making customers feel valued and feeling they could get a better product to meet their needs being the most popular content of the good answers. For employees the focus was on motivation, confidence, pay and career prospects and this was often high scoring. Weaker responses on part **(ii)** focused on the benefits to the business rather than to the employees.

Question 5

(a) The connection between currency changes and costs was seen quite often although weaker candidates got it the wrong way round and thought a currency appreciation would make the imports more expensive. The balancing act of low prices and high quality goods, as in the case material, was often overlooked although plenty of references to Appendix 3 were made. Discussion of the need to maintain the quality of the products they sell in their shops to ensure customer satisfaction was the most common core answer. Weaker candidates did little more than recount the factors identified in Appendix. 3. The best answers explained it was an issue the directors needed to keep under review as obviously improvements were taking place with the potential new suppliers and this is a competitive retail sector.

(b) Most candidates were able to outline one law to protect employees with many references to minimum wage, discrimination and health and safety requirements. Laws to protect customers was less obvious, with much emphasis on prices and quality rather than 'fit for purpose' or dishonest advertising claims. The second part presented some problems for weaker candidates and they tended to repeat what they had written in the first part of the question. Better answers focused on the consequences for the firm.

Overall the quality of the answers from the majority of Centres was very good. Although candidates lost marks through lack of application, nevertheless the depth of understanding was apparent in many cases. There were few examples of low scoring candidates and many examples of high scoring candidates where they had not only applied their answers well but also made judgments which were fully justified.